Israeli elections likely to end in deadlock

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【メール原文】

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summary

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The most likely outcome for Israel is a deadlock, with a new round of elections in the coming months.
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The ECB won’t intervene in the French bond market to calm markets over presidential frontrunner Marine Le Pen’s pledges, but could act to prevent contagion into the wider Eurozone.
*
Chancellor John Healey has presented a budget that delays decisions on defense, welfare, and public spending until next year.
*
Energy prices point to 2027 eurozone inflation near 4%.
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, the EU, France, Iran, Israel, the UK, Latin America, energy, geoeconomics, and healthcare.

the top line

Israel—Post-election outlook

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On our post-election call, Ambassador Daniel Shapiro said that although Israeli Prime Minister Benjamin Netanyahu's bloc leads in the 27 October election with a projected low-to-mid-50s Knesset seats versus high-40s/low-50s seats for the anti-Netanyahu bloc, neither side has a clear path to a 61-seat majority, and a new election is now the most likely outcome (55% odds).
*
The Anti-Netanyahu bloc remains motivated to remove him but will struggle to find a mutually acceptable accommodation among Jewish and Arab Israeli opposition parties needed to form a minority government (25%), while extreme political polarization and personality differences make a national unity government an even more remote prospect (20%).
*

As interim prime minister, Netanyahu retains strong incentives to resume military operations against Iran following the US midterm elections; President Donald Trump's appetite for a short, intense campaign may conflict with the likely window for Iranian retaliation.

*

Read conference call notes here . Reach out to discuss: mena@eurasiagroup.net .

France, EU—ECB stands ready to act on contagion, cautious on France

*

Le Pen is unlikely to significantly revise her economic program before the 2 May runoff, setting up a potential confrontation with bond investors over the sustainability of her fiscal plans.

*

The passage of a 2027 budget by Prime Minister Sebastien Lecornu's minority government would strengthen the case for European Central Bank (ECB) intervention to calm the French bond market, though the bank is unlikely to do so in response to market reactions to Le Pen's campaign pledges alone.

*

The ECB would be more likely to act to prevent contagion from France to the wider Eurozone, particularly given that the bank's Transmission Protection Instrument was created to counter unjustified divergence in borrowing costs across member states, and other member states will likely remain broadly compliant with the EU's fiscal rules.

*

Read more here . Reach out to discuss: europe@eurasiagroup.net .

UK—Burnham's "Blueprint for Britain" delayed until next year

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As expected, Healey has presented a budget that delayed decisions on defense, welfare, and public spending for next year's government-wide review covering 2028-2029 to 2030-2031.

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The budget was an attempt to rebuild Labour's bridges with business, but markets will worry that Healey did not provide clarity on key spending categories ahead of next year's government-wide review.

*

EG continues to assign a 35% chance of a 2027 election.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

EU, Energy, Geoeconomics—Energy prices point to 2027 eurozone inflation near 4%

*

Brent ($115 per barrel) and TTF gas (€101 per MWh) are trading halfway between the ECB's fourth-quarter adverse and severe scenarios. Oil futures converge on the adverse path by late 2027, but gas stays well above it as Europe struggles to restock (see note , 22 September).

*

Interpolating the ECB’s scenarios implies 2027 inflation near 4% and growth near 0.8%, against baselines of 2.5% and 1.4% respectively. The scenarios assume no policy response.

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Markets are currently pricing in a hold today and two to three hikes within a year, leaving the ECB facing another stagflationary energy shock.

*

Reach out to discuss: geoeconomics@eurasiagroup.net .

Brazil—Bolsonaro's electoral contestation will hasten his family's political decline

*

Senator Flavio Bolsonaro’s letter contesting the election will likely isolate him rather than rally the right, as his claim lacks a factual basis.

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International recognition of Flavio's self-proclaimed leadership will be marginal.

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The EU, major European governments, Canada, China, India, and even right-of-center Latin American leaders quickly congratulated President Luiz Inacio Lula da Silva on his win. Argentina is the exception.

*

The episode complicates US-Brazil relations, but Bolsonaro's value to Trump is declining as he loses relevance. Bilateral friction on issues such as social media regulation is expected.

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Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Latin America—Regional update

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A likely defeat in next week’s US midterms will probably not meaningfully affect Trump’s stance toward Latin America because he continues to prioritize the region and the executive branch controls most of the relevant policy tools.

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Lula’s victory is an outlier in the region’s rightward shift rather than a reversal, and although a fiscal correction is coming, it will probably not do enough to curb the rising debt-to-GDP ratio as policy risks increase over time.

*

The conservative wave will probably continue in 2027, but polarized electorates will likely limit the upside for economic reform as presidents elected on security pledges already pay a political price for tough economic measures.

*

Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

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6 November 9:00 PM ET—Implications of the US midterms. Register here .

eg in brief

US, China, Healthcare—US and China restrictions will deepen biomedical license reliance amid innovation decoupling: The addition of biotechnology to the covered sectors included in Treasury's Notice of Proposed Rulemaking for the Comprehensive Outbound Investment National Security Act was not anticipated by EG and underscores the clear intention of Trump to bring biotech under the purview of national security. Narrow industry licensing deals would be spared while co-development deals and investments in early-stage work would be essentially halted, but the rule's broad scope will likely be clarified after the upcoming comment period. While China's initial statement signals a measured response, Beijing has also sought to prohibit the transfer of key intellectual property to foreign investors, which will increase divergence in development and innovation and encourage the decoupling of the US and China biotech sectors. Read more here . Reach out to discuss: healthcare@eurasiagroup.net .

Upcoming events:

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29 October: Events: EU-Canada Summit begins in Montreal, through 30 October; Data: US personal income, PCE price index, and GDP; Central bank decisions: Egypt and ECB.
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30 October: Events: G20 Foreign Ministers' meeting begins, through 31 October; Data: Eurozone GDP and unemployment, Mexico GDP, France, Italy, and Poland CPI, and Japan and South Korea industrial production; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"I present myself to the Brazilian people and the international community as President-elect of Brazil."—Flavio Bolsonaro said in the first version of a statement that saw many revisions, originally released on Wednesday after he arrived in Miami.

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